

Olevel

Chp:- Inflation

Policies to recover from
Depression



Zurairc
Mushtaq



Policies to recover from recession/deflation (Reflationary / Expansionary)

Demand side policy

1) Fiscal policy

Tax ↓, Income tax ↓, C ↑ + I ↑, $\text{AD} \uparrow \Rightarrow$ Multiplier

Inflation

Government
Expenditure (G) ↑

incomes ↑, C ↑ $\Rightarrow \text{AD} \uparrow$

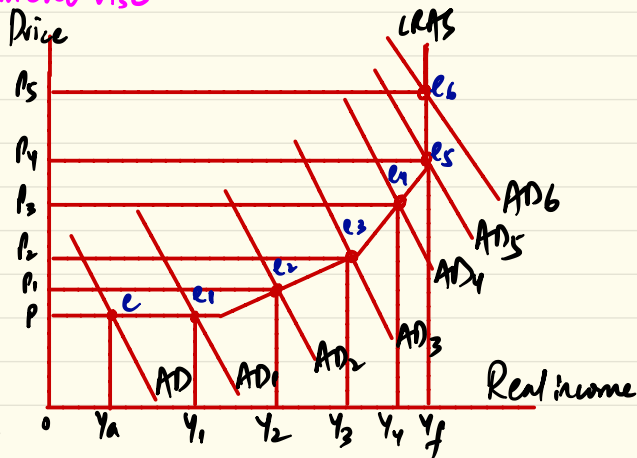
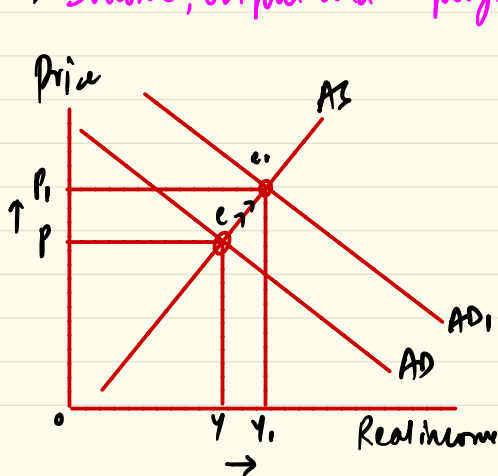
Inflation

e.g. infrastructure

circulation of money

* $\text{AD} \uparrow$, production ↑, $D_c \uparrow$, employment ↑, full employment, reached, hyper inflation
achieved potential

* Multiplier $\rightarrow$ Income, output and employment rise



2) Monetary policy

Money

Banks

$\Rightarrow$ Money Supply (M^s) $\uparrow$

or

Interest rate (r) $\downarrow$

$\swarrow$ Savers $\uparrow \Rightarrow C \uparrow$
 $\searrow$ Borrowers $\uparrow \Rightarrow I \uparrow$

$\text{AD} \uparrow$

Inflation

$\Downarrow$
 Exchange rate $\downarrow$

Depreciation

$\swarrow$
 X prices $\downarrow$

X qty $\uparrow$

$X(TE) \uparrow$

$\searrow$
 M prices $\uparrow$

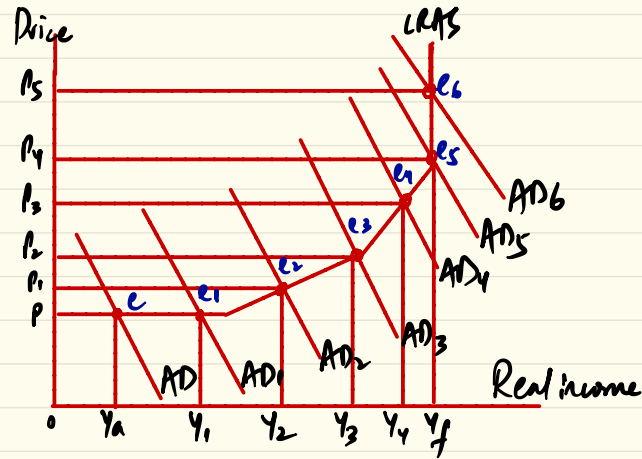
M qty $\downarrow$

$M(TE) \downarrow$

Balance

of trade surplus $\Rightarrow$

$\text{AD} \uparrow$



Effectiveness of Expansionary policy

Fiscal policy

- ↳ worried about the future
- ↳ Save most of extra disposable income
- ↳ Too much injection by government, leads to demand pull inflation

Monetary policy

- ↳ pessimistic about future
- ↳ interest rate are already low
- ↳ absence of credit worthy borrowers (Banks not willing to lend)
- ↳ 18 months (time lag)

Questions

* ADT diagram (Q1 and Q2)

Q1 Explain how fiscal policy can be used to recover the economy from deflation? 8 [Tax ↓ (income and corporation)
Government spending ↑]

Q2 Explain how monetary policy can be used to recover the economy from deflation? 8 ($M^s \uparrow$, $R \downarrow$:-
Impact on savers, Borrowers and FR)

Q3 Whether There is a conflict with any other objective when an economy achieves full employment? 4

Full employment conflicts with price stability and BOP stability

Income ↑, AD ↑, shortage, Price ↑
↳ Imports ↑, $n(IE) \uparrow$, trade deficit ↑

Next page, Q4 →